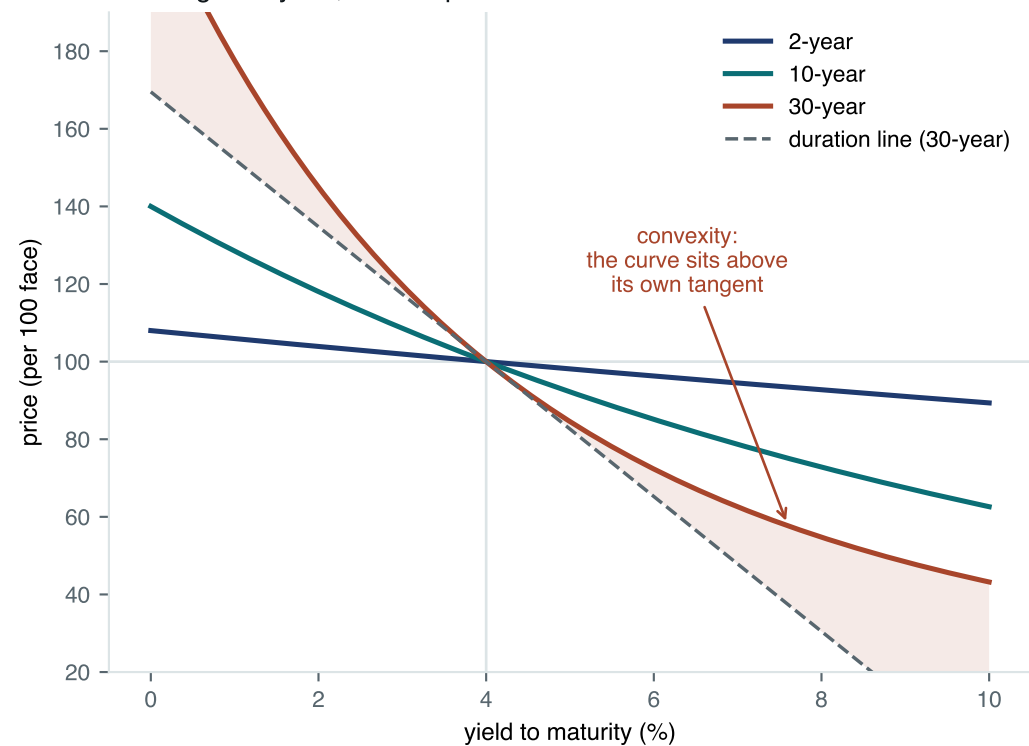
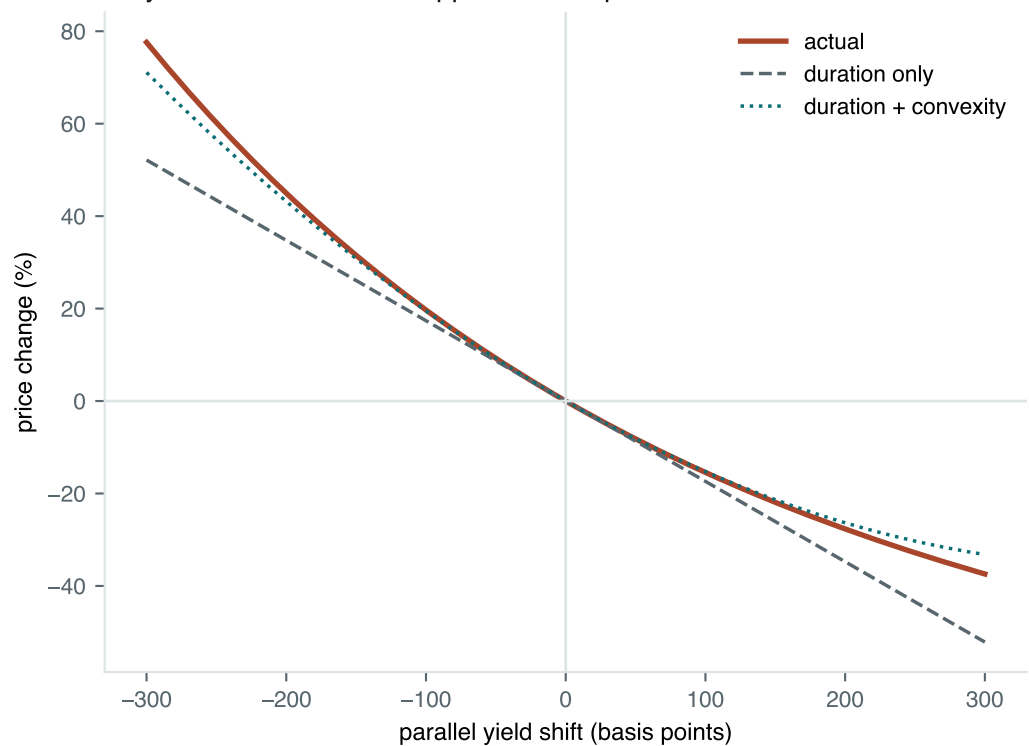


Price against yield, 4% coupon bonds



30-year bond: what each approximation predicts



Duration is the slope at today's yield; it is exact only for an infinitesimal move. Convexity is the curvature, and for an option-free bond it always helps: gains from a rally exceed losses from an equal-sized sell-off.